General

Credit Guarantee Schemes for Banks (CGS-I) +

Credit Guarantee Scheme for NBFC (CGS-II) +

PM SVANidihi +

PM Vishwakarma +

Credit Guarantee Scheme for Co-Lending (CGSCL) +

Process for availment of loan under Credit Guarantee Scheme

1. How is this guarantee scheme operated by the Trust?

The operations of this Scheme are fully computerized using B2B e-business concept to enable the Trust to deliver prompt service to the lenders.

2. What information is required to be submitted to the Trust before starting operations under the Scheme?

The lending institution has to submit an undertaking (download from http://www.cgtmse.in/files/Undertaking.pdf) on a stamp paper of appropriate value to the registered office of the Trust. Subsequently, MLIs are required to give the names and addresses of the Zonal / Regional / Branch offices through which they would like to operate the Scheme. They are also required to furnish the names of a nodal officer and two other officers who will be operating the Scheme at each of the operating offices. On receipt of this information, Member ID and Passwords would be allotted by the Trust, after which it would be possible for MLIs to lodge applications for guarantee cover. Applications are required to be lodged online.

3. Can the Micro and Small Entrepreneurs / borrowers approach the Trust directly to seek guarantee for the credits sanctioned by the Banks?

CGTMSE gives guarantee to its MLIs. Therefore, entrepreneurs in the Micro and Small Enterprises sector have to approach the Banks or financial institutions (who have already registered with the Trust as MLIs) with their viable proposals for their credit requirements. The List of MLIs of the Trust can be seen at CGTMSE web-site at http://www.cgtmse.in.

4. Can a Bank / Institution seek single guarantee cover or lump sum guarantee cover for all the loans outstanding in respect of all the eligible MSE borrowers?

No, single guarantee cover or lump sum guarantee cover for all outstanding loans is not permissible. Under the Scheme, applications are required to be filed by the MLIs, individually, in respect of each of the borrower. The applications are to be submitted by the identified branches/Zonal office /Circle office /HO, which have been allotted member Id, passwords by CGTMSE, using the member id in CGTMSE website (http://www.cgtmse.in). Alternatively, bulk upload & API options are also available for guarantee coverage.

5. Will payment of Guarantee Fee on the whole outstanding MSE portfolio of the MLI, with loans up to to ₹10 crore, is acceptable to CGTMSE?

Annual Guarantee Fee (AGF) will be charged on the guaranteed amount for the first year and on the outstanding amount for the remaining tenure of the credit facility for credit facilities sanctioned / renewed to MSEs on or after April 01, 2025 as per Circular No.251/2024-25 dated March 18, 2025. Under the Scheme, applications are required to be filed by the Operating Offices of MLIs, individually, for each of the borrower for credit facilities extended. Alternatively, bulk upload & API options are also available for guarantee coverage.

6. Does CGTMSE have branch offices in other cities in India?

CGTMSE has its Registered Office at Mumbai and does not have any branches. Since the entire operations are online, CGTMSE is able to cater to the needs of its MLIs from Mumbai.

7. Whether finance for Wholesale trade is eligible for coverage?

Yes, Wholesale trade is eligible for coverage

No. of Visitors - 18960640

Quick Links

Credit Guarantee Schemes for Banks (CGS-I)

Credit Guarantee Scheme for NBFC (CGS-II)

PM SVANIDIHI

Credit Guarantee Scheme for Co-Lending (CGSCL)

Contact Us

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